

Life Time Group Holdings

NYSE : LTH · Mature-Company DCF

\$33.61

\$7.46B mkt cap · 222M sh · \$232M cash, \$1.29B net debt · BB- credit

THE CENTRAL QUESTION

Is Life Time a premium wellness platform with durable luxury economics — or a leveraged real estate vehicle whose positive FCF depends on perpetual \$400M/year sale-leasebacks?

LTH trades at \$33.61 (\$7.5B mkt cap) on TTM revenue \$3.0B and Adj EBITDA \$824M (27.5% margin). 190+ premium athletic clubs, 891K members, 12-14 luxury openings/yr. But FY25 FCF \$206M required \$400M of sale-leaseback proceeds offsetting \$870M capex — ex-SLB, operating FCF is zero. Bear: capital recycling unsustainable, leveraged real estate vehicle. Bull: luxury wellness category-of-one, SLB is smart financing. Today's price requires bull-case execution. Three scenarios, weighted; show your work.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$22.26
expected fair value today
-33.8% vs spot \$33.61

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$33.42	\$50.23	\$75.62	\$114.00
0.99x spot	1.49x spot	2.25x spot	3.39x spot

WEIGHTING RATIONALE

Bear 20% SLB-as-capital-recycling thesis structurally coherent but lacks traction vs FY24/25 execution.

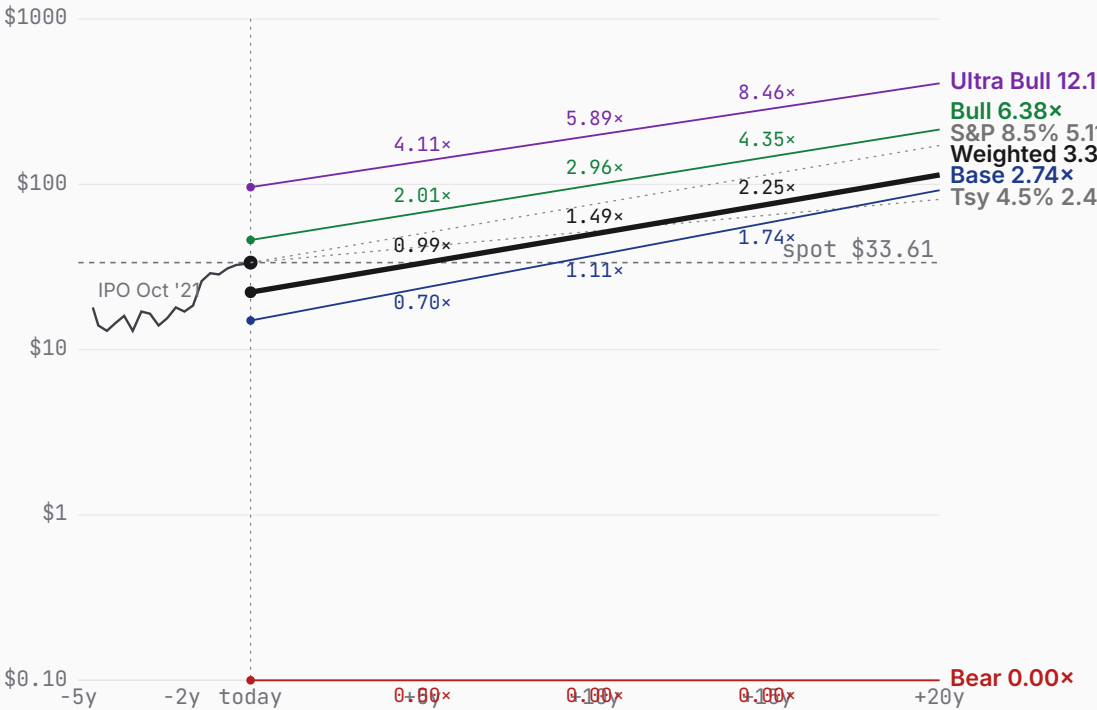
Base 55% Modal outcome: LTH executes guidance, leverage stays in target.

Bull 20% Luxury wellness platform compounds; category-of-one; multiple expansion requires execution AND re-rating.

Ultra Bull 5% 250+ clubs by 2030 + ARPU \$6,500 + SLB self-funded + multiple re-rates to 15x EV/EBITDA.

Bull (20%) + Ultra Bull (5%) together contribute \$14.01 — 63% of the \$22.26 expected value despite 25% combined probability. Today's spot (\$33.61) sits 51% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED



BEAR	\$0.00	BASE	\$15.00	BULL	\$46.04	ULTRA BULL	\$96.13
	-100.0% vs spot		-55.4% vs spot		+37.0% vs spot		+186.0% vs spot
CAGR +5.1% WACC 11.0% SLB \$0.9B Prob 20%		CAGR +7.8% WACC 9.5% SLB \$1.7B Prob 55%		CAGR +9.8% WACC 8.0% SLB \$2.0B Prob 20%		CAGR +12.0% WACC 7.5% SLB \$3.0B Prob 5%	
Capital recycling, not earnings.		Premium platform, leveraged structure.		Luxury wellness platform compounds.		Luxury category-of-one; 15x re-rate.	



Life Time Group Holdings scenario narratives

PROBABILITY WEIGHTS

Bear 20% Base 55% Bull 20% Ultra Bull 5% · Weighted expected \$22.26 (-33.8% vs spot)

BEAR	\$0.00	BASE	\$15.00	BULL	\$46.04	ULTRA BULL	\$96.13
	-100.0% vs spot		-55.4% vs spot		+37.0% vs spot		+186.0% vs spot

Probability 20%

Capital recycling, not earnings.

WHY 20%

Bearish thesis is structurally coherent: LTH's headline FCF is dependent on SLB proceeds (~\$400M/yr); strip those out and operating FCF is barely positive. Cumulative SLB program is finite (~\$2B remaining); each SLB trades one-time cash for permanent rent increase. Net debt + capitalized lease obligations near \$4B. If macro slows and luxury fitness spend compresses, FCF margin drops, stock works to \$20-25. The 20% weight reflects that this thesis bumps against LTH's actual track record: FY24/25 execution strong, recent S&P upgrade validates the credit story, and new luxury club economics (\$25-35M revenue vs \$15-20M legacy) genuinely change the unit math.

WHAT HAPPENS

The pessimistic case is straightforward. LTH only delivers 'positive FCF' after \$400M/year of sale-leaseback proceeds. Strip those out and operating FCF is barely positive — FY25 OCF \$870M minus capex ~\$870M equals zero before SLB. The reported \$206M FY25 FCF is essentially \$400M of real estate proceeds offset against expansion capex. This is capital recycling reported as cash generation.

The SLB program is finite. LTH has ~190 clubs, of which perhaps 40-50 remain owned outright after cumulative SLB transactions. At \$40M average per club, that's roughly \$2B of remaining real estate runway. At the planned \$400M/year pace, the tap closes in 4-5 years — exactly the DCF horizon. Meanwhile rent obligations from prior SLBs (~\$300M/yr and growing) compound — every SLB trades a one-time cash inflow for a permanent operating expense increase.

Probability 55%

Premium platform, leveraged structure.

WHY 55%

Modal outcome. LTH executes guidance: revenue grows 11% FY26, decelerating to mid-single-digits. EBITDA margin holds 28-30% (top quartile for consumer services). New 2026 club openings (1.2M sq ft, mostly luxury) mature over 3-4 years. SLB cadence holds for 2-3 more years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target. The 55% weight reflects that this requires the least faith — sequential execution on plans already in motion. The base case is well-run but priced for steady-state execution; the multiple stays compressed.

WHAT HAPPENS

The middle path takes LTH's recent execution at face value. Revenue grows 11% in FY26 per guidance, decelerating to mid-single-digits as the base builds. Adjusted EBITDA margin holds in the 28-30% range — top quartile for consumer services. Average revenue per membership grows from \$3,531 toward \$4,000 as new luxury clubs ramp at higher price points.

New club economics are unique: 1.2M sq ft of 2026 openings is concentrated in resort-style luxury formats generating \$25-35M annual revenue at maturity vs \$15-20M for legacy. Maturation takes 3-4 years; 2026 openings contribute meaningfully only by 2028-29. SLB cadence holds at \$300-400M for 2-3 years then tapers. Net debt leverage stays in the 1.5-2.0x EBITDA target.

Probability 20%

Luxury wellness platform compounds.

WHY 20%

Multi-decade luxury wellness platform compounding. LTH is genuinely a category-of-one — no other US operator at premium luxury athletic country club scale (Equinox is private and smaller; gym chains are budget-positioned; boutique concepts are single-discipline). In-center revenue (Dynamic PT, MIORA hormone optimization, swim lessons, pickleball clinics, spa, cafe) compounds faster than dues. EBITDA margin expands toward 30%+ as new-club mix shifts to higher-revenue luxury formats. The SLB flywheel sustains: 12-14 new luxury clubs/year become future SLB inventory 5-7 years later. The 25% weight reflects that multiple expansion (15x P/E to 22-25x) is plausible but requires both execution AND market re-rating — the conjunction is demanding.

WHAT HAPPENS

The bull case is that Life Time is a category of one. There is no other US operator at the premium luxury athletic country club scale — Equinox is private and smaller, gym chains are budget-positioned, boutique concepts are single-discipline. LTH's 'Country Club' positioning combines fitness, racquet sports, kids, pools, dining, work-from-club spaces, and recovery in a single membership.

In-center revenue compounds faster than membership dues — Dynamic Personal Training, swim lessons, pickleball clinics, MIORA hormone optimization, Life Spa, Life Cafe. In-center revenue per member grows from \$1,050 toward \$1,400-1,500. SLB program sustains: as LTH opens 12-14 new luxury clubs/year, each becomes future SLB inventory 5-7 years later. The flywheel: build → operate → SLB → recycle.

Probability 5%

Luxury category-of-one; 15x re-rate.

WHY 5%

Joint conditional: 250+ clubs by 2030 (40%) AND ARPU \$6,500+ achieved via medspa/recovery upsell (50% conditional on club growth) AND SLB self-funded with bank capital (60%) AND multiple expansion to 15x EV/EBITDA (50%). Joint at 4-6%, reflected here at 5%. Tail of tails: LTH stops being a 'leveraged real estate compounder' and becomes a 'luxury wellness software-like compounder.'

WHAT HAPPENS

The ultra-bull case is that LTH compounds as the dominant luxury wellness platform AND the market re-rates. Network grows 191 → 250 clubs by 2030 at 15+ new clubs/year (vs 12-14 base). Average member spend rises from \$4,500 to \$6,500 annually as ultra-luxury services (medspa, nutrition science, recovery) drive ARPU. SLB program self-funds at 6% cap rate with bank financing. EBITDA grows to \$1.5B+ by 2030.

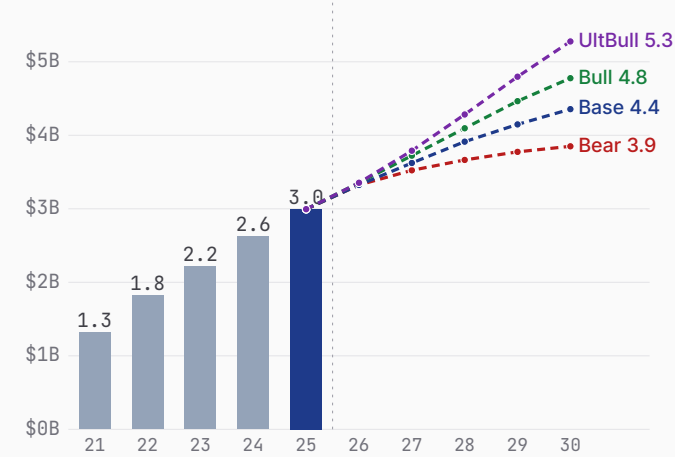
Multiple expands from 9x EV/EBITDA (current) to 15x as growth story consolidates and capital structure de-risks. Result: \$22.5B EV - \$1.3B net debt = \$21.2B equity ÷ 235M FY30 shares = \$90/share. The ultra-bull case requires BOTH operational excellence AND multiple re-rating — most LTH bulls only price one of these.

Life Time Group Holdings business snapshot

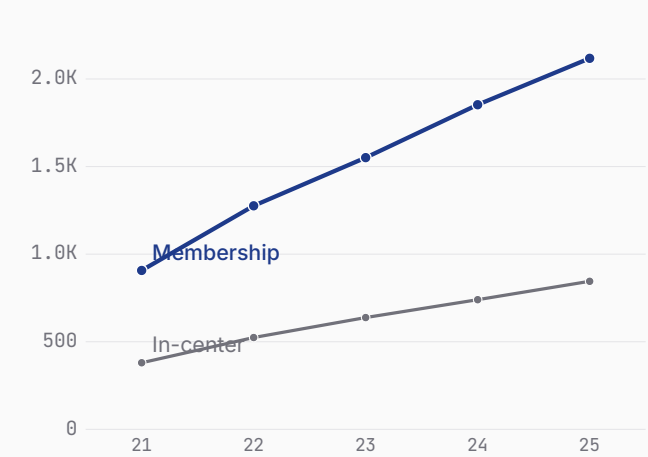
Bear \$0.00 Base \$15.00 Bull \$46.04

FY23–FY25 history + FY26–FY30 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q1 2026 10-Q, S&P credit reports

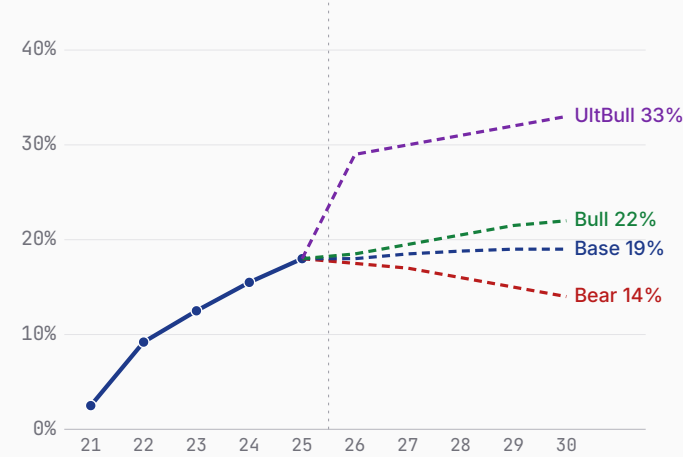
Revenue (\$B) — history + scenarios to FY30



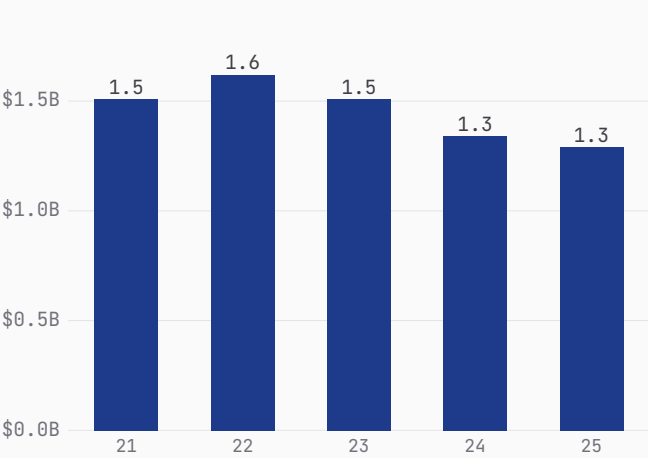
Revenue by segment (\$M)



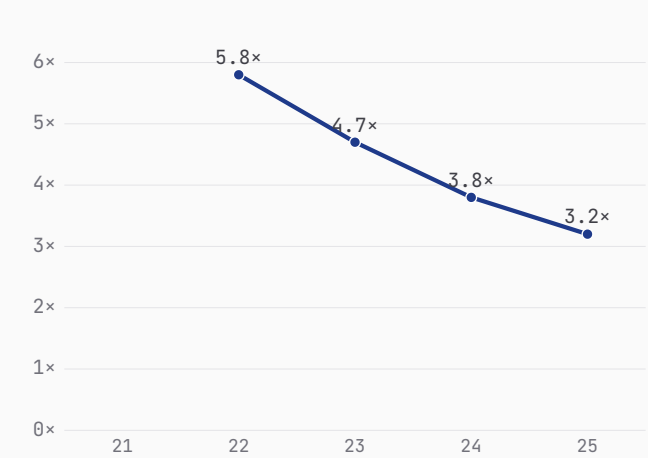
Op margin — history + scenarios



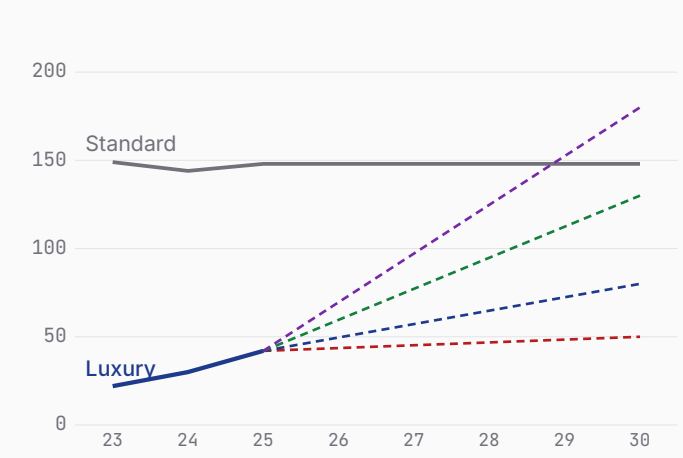
Net financial debt (\$B) — history



EV / Revenue — historical



Club count — Luxury vs Standard



Sources: LTH 10-K FY25, Q1 2026 10-Q, S&P / Moody's credit reports, REIT comparables for SLB cap rates.

Life Time Group Holdings

7 Powers · the moat, scored

Bear \$0.00 Base \$15.00 Bull \$46.04

Arena. Premium health-and-wellness clubs — Life Time vs Equinox (urban premium), boutique studios (Xponential et al.), value gyms (Planet Fitness), and at-home fitness.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies	Large-format clubs + real-estate scale spread fixed cost; ancillary revenue (spa, cafe, work).
Network Economies	Member community/events create some stickiness; not a true network.
Counter-Positioning	Premium 'athletic country club' big-box that mass-market and boutiques can't straddle.
Switching Costs	Family memberships, onboarding, community and locker inertia.
Branding · thesis leans here	The premium destination brand in big-box fitness.
Cornered Resource	Prime, large-footprint real-estate locations that are hard to replicate.
Process Power	Club operating model + ancillary-revenue playbook honed over years.

PEER SET

Equinox	6% gr · private
Urban ultra-premium; overlaps at the top end.	
Planet Fitness	10% gr · 36% mgn · ~20x EV/EBITDA
Mass-market low-price; a different segment, but caps pricing power below.	
Boutique studios (Xponential)	8% gr · 20% mgn · ~8x
Fragmented, asset-light franchising; cherry-picks modalities.	

THREAT VECTORS · FALSIFIERS

Counter-Positioning · Equinox + boutiques
falsifier: Same-club revenue growth < 5% for 2 consecutive years while membership churn climbs above 35%.
Switching Costs · Macro down-trade / at-home
falsifier: Dues-paying membership declines YoY in a non-recession year.

COMPETITIVE READ

A durable premium brand plus prime-real-estate moat that underwrites the DCF's terminal economics; the live risks are macro down-trade and Equinox at the top end — same-club revenue and churn are the erosion gauges.

Life Time Group Holdings show your work

Bear \$0.00 Base \$15.00 Bull \$46.04 · Weighted \$22.26 (-33.8%)

BEAR					BASE					BULL					ULTRA BULL				
\$0.00					\$15.00					\$46.04					\$96.13				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)		+5.1			5y revenue CAGR (%)		+7.8			5y revenue CAGR (%)		+9.8			5y revenue CAGR (%)		+12.0		
Year-5 op margin (%)		14.0			Year-5 op margin (%)		19.0			Year-5 op margin (%)		22.0			Year-5 op margin (%)		33.0		
WACC (%)		11.0			WACC (%)		9.5			WACC (%)		8.0			WACC (%)		7.5		
Terminal growth (%)		1.5			Terminal growth (%)		2.5			Terminal growth (%)		3.0			Terminal growth (%)		3.5		
5y SLB total (\$B)		0.95			5y SLB total (\$B)		1.70			5y SLB total (\$B)		2.00			5y SLB total (\$B)		3.00		
Starting revenue (\$B)		3.00			Starting revenue (\$B)		3.00			Starting revenue (\$B)		3.00			Starting revenue (\$B)		3.00		
Scenario probability (%)		20			Scenario probability (%)		55			Scenario probability (%)		20			Scenario probability (%)		5		
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	3.32	+18%	+0.13	+0.12	FY26	3.32	+18%	+0.23	+0.21	FY26	3.35	+19%	+0.30	+0.28	FY26	3.36	+29%	+0.35	+0.33
FY27	3.52	+17%	+0.18	+0.14	FY27	3.62	+19%	+0.29	+0.24	FY27	3.72	+20%	+0.41	+0.35	FY27	3.80	+30%	+0.50	+0.43
FY28	3.66	+16%	+0.15	+0.11	FY28	3.91	+19%	+0.31	+0.24	FY28	4.10	+21%	+0.49	+0.39	FY28	4.29	+31%	+0.70	+0.56
FY29	3.77	+15%	+0.11	+0.07	FY29	4.15	+19%	+0.33	+0.23	FY29	4.46	+22%	+0.58	+0.43	FY29	4.81	+32%	+0.90	+0.67
FY30	3.85	+14%	+0.08	+0.05	FY30	4.36	+19%	+0.35	+0.22	FY30	4.78	+22%	+0.67	+0.46	FY30	5.29	+33%	+1.10	+0.76
Σ PV explicit FCF				+0.49	Σ PV explicit FCF				+1.14	Σ PV explicit FCF				+1.90	Σ PV explicit FCF				+2.75
+ PV terminal (g 1.5%)				0.49	+ PV terminal (g 2.5%)				3.24	+ PV terminal (g 3.0%)				9.38	+ PV terminal (g 3.5%)				20.90
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV		\$0.98B			Operating EV		\$4.39B			Operating EV		\$11.28B			Operating EV		\$23.65B		
+ Cash & investments		\$0.23B			+ Cash & investments		\$0.23B			+ Cash & investments		\$0.23B			+ Cash & investments		\$0.23B		
– Net debt		\$1.29B			– Net debt		\$1.29B			– Net debt		\$1.29B			– Net debt		\$1.29B		
= Equity value		\$-0.08B			= Equity value		\$3.33B			= Equity value		\$10.22B			= Equity value		\$22.59B		
FY30 shares (M)		222			FY30 shares (M)		222			FY30 shares (M)		222			FY30 shares (M)		235		
= Expected per share		\$0.00			= Expected per share		\$15.00			= Expected per share		\$46.04			= Expected per share		\$96.13		
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$0.00	\$0.00	\$0.00	\$0.00		\$23.61	\$37.17	\$58.52	\$92.12		\$67.65	\$99.40	\$146.05	\$214.59		\$138.01	\$198.13	\$284.44	\$408.35	
0.00×	0.00×	0.00×	0.00×		0.70×	1.11×	1.74×	2.74×		2.01×	2.96×	4.35×	6.38×		4.11×	5.89×	8.46×	12.15×	

Life Time Group Holdings

supporting analysis · disclaimers · glossary

Bear \$0.00 Base \$15.00 Bull \$46.04

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Track record is strong.
FY24-25 execution delivered guidance; S&P upgrade validates credit. Removes the leveraged-real-estate-vehicle framing.
- 2

New club economics shift mix.
1.2M sq ft of 2026 luxury openings generate \$25-35M revenue vs \$15-20M legacy. Unit economics improving, not deteriorating.
- 3

Category-of-one positioning.
No US operator at LTH's premium luxury athletic country club scale. Equinox private + smaller; gym chains budget; boutiques single-discipline.
- 4

In-center monetization compounds.
Dynamic PT, MIORA, pickleball, spa, cafe — in-center revenue per member growing from \$1,050 toward \$1,400-1,500. High-margin, recurring.
- 5

SLB flywheel sustains.
New clubs become future SLB inventory in 5-7 years. Cadence of \$400M/yr can persist as long as new construction continues.

FALSIFICATION TRIGGERS

Bear validation FY27 revenue growth < 5% · SLB cadence < \$300M/yr · Net debt / EBITDA > 2.5x · Credit rating downgraded below BB-	Bull validation FY27 revenue growth > 9% · EBITDA margin > 30% · In-center revenue per member > \$1,250 · P/E multiple expands above 18x	Reframe needed If Equinox or comparable luxury operator IPOs at premium multiple — establishes valuation comparable for LTH multiple expansion
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

SLB — Sale-leaseback. LTH sells owned club property to a REIT and leases it back. Converts capital to liquidity; adds permanent rent.	Athletic Country Club — LTH's positioning — luxury multi-discipline format combining fitness, racquet sports, pools, kids, dining and recovery.	Dynamic PT — Personalized training program. Highest-margin in-center revenue stream and a key ARPU driver as the luxury mix grows.
MIORA — Hormone optimization and longevity service line. New higher-margin in-center revenue category, central to the bull ARPU thesis.	In-center revenue — Revenue beyond membership dues: PT, classes, spa, cafe, retail. Currently ~30% of total; compounds faster than dues.	Lease-adjusted leverage — Per ASC 842, capitalized operating lease liabilities included in total obligations. Adds ~\$2.5B+ to \$1.29B net debt.